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June 29, 2026

Ms. Vanessa Countryman
Secretary
U.S. Securities and Exchange Commission
100 F Street NE Washington, DC 20549

Submitted via SEC Comment Portal.

Re: Proposed Rule on Semiannual Reporting (File No: S7-2026-15)

Dear Ms. Countryman:

On behalf of the American Federation of State, County and Municipal Employees (AFSCME), I am writing to provide comments on the U.S. Securities and Exchange Commission's (the SEC or Commission) proposed rulemaking entitled Proposed Rule on Semiannual Reporting (File No: S7-2026-15) (the Proposed Rule) to allow companies to file semiannual reports on the new Form 10S in lieu of quarterly reports on Form 10-Q.

AFSCME's 1.4 million members provide the vital services that make America happen. With members in communities across the nation, serving in hundreds of different occupations — from nurses to corrections officers, child care providers to sanitation workers — AFSCME advocates for fairness in the workplace, excellence in public services and freedom and opportunity for all working families. AFSCME members participate in over 150 public pension systems, in private sector single-employer and multiemployer pension plans and public- and private-sector defined contribution retirement plans.

AFSCME appreciates the opportunity to submit comments. We urge the Commission to withdraw the Proposed Rule and keep current quarterly reporting disclosure as is, rather than making quarterly disclosure optional. Public companies have been disclosing quarterly reports on Form 10-Q since the passage of the Securities Exchange Act of 1934 and have been required to do so since 1970. The efficient and orderly operation of our markets depends on investors being able to make informed decisions. Quarterly reporting of timely, comparable and decision-useful financial disclosure is essential to the efficient functioning of our capital markets. Therefore, we believe the Proposed Rule is a solution in search of a problem and should be withdrawn.

What Gets Measured Gets Managed

Transparency is the foundation of our capital markets. Investors rely on quarterly reports to make sound investment, voting and engagement decisions, including by monitoring how companies are performing and implementing their strategies. Mandatory quarterly disclosure ensures material financial information reaches all investors at the same time. Investors rely on quarterly data for risk monitoring, whereas semiannual reporting

American Federation of State, County and Municipal Employees, AFL-CIO

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would allow a company to delay information reaching the company's owners — the shareholders who are providing the capital. Quarterly reporting is an important element of transparency for investors, as well as a positive discipline for management. We agree with a recent editorial by Charles Elson, who notes that quarterly reporting aligns with basic corporate financial accounting, where boards measure management performance by meeting quarterly and reviewing financials that are quarterly based.¹ Quarterly reporting is essential for providing investors with prompt and reliable information on how companies are actually performing and for providing management with discipline to provide regular reporting for measuring.

Arguments Have Not Changed Since the SEC's 2018–2019 Consultation

Arguments supporting the Proposed Rule — such as reducing burdens on issuers or promoting capital formation and long-termism — are largely unchanged from those previously made during the SEC's 2018–2019 Request for Comments on Earnings Releases and Quarterly Reports (File No: S7-2026-15). At that time, the CFA Institute found there was almost no support for changing quarterly reporting among investment professionals around the globe, who rely on financial reporting to manage assets.² Fast forward to the Proposed Rule, and the views of investors have not changed: CFA's latest survey confirms investors globally, and not just in the U.S., continue to view quarterly reporting as an essential feature of transparent, efficient and trustworthy capital markets.³

From the previous consultation, we agree with the Council of Institutional Investors comment that the requirement to report historical earnings on a quarterly basis is a key element of the timely and accurate information flow that underpins the quality and efficiency of our capital markets.⁴ We also support the position of the AFL-CIO that rather than eliminating quarterly reporting requirements, the Commission should instead be focusing on ways to enhance the quality of information provided by public companies to investors, including environmental, social and governance (ESG), human capital management and political spending disclosures.⁵

The Need to Expand Private Market Disclosure

We also believe the SEC should focus on expanding disclosure rules related to private equity. A big reason for the decline in IPOs and public companies is the deregulation and disclosure exemptions for private financing, like private equity and venture capital, rather than public company disclosure requirements like quarterly reporting. AFSCME has regularly urged the SEC to strengthen oversight and enforcement of rules related to private equity,⁶ especially in the wake of the 2020 SEC

¹ Charles Elson, "The Quarterly Disclosure Conundrum," *Directors & Boards*, June 3, 2026, available at: <https://www.directorsandboards.com/articles/governance/the-quarterly-disclosure-conundrum/>.

² Monica Singh, "Quarterly Reporting Works Very Well, Thank You," *CFA Institute*, July 22, 2019, available at: <https://blogs.cfainstitute.org/marketintegrity/2019/07/22/quarterly-reporting-works-very-well-thank-you/>.

³ "CFA Institute Survey Finds Investors Strongly Support Quarterly Reporting, Oppose Reducing Disclosure Requirements," *CFA Institute*, June 10, 2026, available at: <https://www.cfainstitute.org/about/press-room/2026/quarterly-reporting-survey-2026>.

⁴ Council of Institutional Investors Comment Letter (March 21, 2019), available at: <https://www.sec.gov/comments/s7-26-18/s72618-5189776-183593.pdf>.

⁵ AFL-CIO Comment Letter (March 21, 2019), available at: <https://www.sec.gov/comments/s7-26-18/s72618-5177718-183526.pdf>.

⁶ Americans for Financial Reform Education Fund, AFL-CIO, AFSCME, et al, Letter to Chairman Gary Gensler, (July 6, 2021), available at: https://ourfinancialsecurity.org/wp-content/uploads/2021/07/Letter-to-SEC-re_Private-Equity-7.6.21.pdf.

Risk Alert,⁷ which highlighted the SEC's findings of serious problems with private equity funds, including fund managers' failure to make full and fair disclosure of conflicts of interest, charging improper fees and failure to implement policies to prevent staff from trading on material nonpublic information. We have endorsed strong standards of care required by the Investment Advisors Act; supported clear and consistent fee and expense reporting and permitting limited partners access to compliance deficiencies⁸; called for providing investors with necessary details on the fees, expenses, returns and compliance records of private funds⁹; and urged finalizing the private funds disclosure rule.¹⁰

The need for increased private markets disclosure has become only more urgent given the U.S. Department of Labor's proposed rule to encourage private equity access to 401(k) plans with \$13.8 trillion¹¹ in assets. Allowing private offerings to retail investors, including through self-directed retirement plans, while failing to pair this access with required public disclosures, will leave plan fiduciaries and vulnerable investors without the disclosures necessary to distinguish between good and bad investments.

We appreciate the opportunity to share our views on the importance of keeping quarterly reporting rules. We urge the Commission to protect investors' access to information and keep current quarterly reporting disclosure requirements so as to meet the evolving needs of the investing community. The efficient and orderly operation of our markets depends on investors being able to make informed decisions, including receiving material information in a uniform and timely manner. If you have any questions, or need additional information, please do not hesitate to contact John Keenan at jkeenan@afscme.org.

Sincerely,

/s/ Dalia R. Thornton

Dalia R. Thornton
Director
Department of Research and
Collective Bargaining Services

⁷ "Observations from Examinations of Investment Advisers Managing Private Funds," SEC Office of Compliance Inspections and Examinations, June 23, 2020, available at: https://www.sec.gov/files/Private%20Fund%20Risk%20Alert_0.pdf.

⁸ AFSCME, AFT, CWA, NEA and SEIU Letter to Chairman Gary Gensler, (December 7, 2021), available at: <https://www.nea.org/sites/default/files/2021-12/Welcome%20Letter%20to%20SEC%20Chair%20-%20Public%20Sector%20Unions.pdf>.

⁹ AFSCME Comment to SEC on Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews (File No: S7-03-22), (April 25, 2022), available at: <https://www.sec.gov/comments/s7-03-22/s70322-20126516-287162.pdf>.

¹⁰ Americans for Financial Reform Education Fund, AFL-CIO, AFSCME, et al, Letter to Chairman Gary Gensler, (February 21, 2023), available at: <https://ourfinancialsecurity.org/2-21-23-systemic-risk-letter-from-29-signers-to-sec-on-finalizing-strong-rules-for-private-fund-advisers/>.

¹¹ "Quarterly Retirement Market Data, First Quarter 2026," Investment Company Institute, June 18, 2026, available at: https://www.ici.org/statistical-report/ret_26_q1.